Efficient Market Theory

Fundamental analysts often use the efficient market theory in determining the intrinsic price of a share. This theory submits that in an efficient market all investors receive information instantly and that it is understood and analyzed by all the market players and is immediately reflected in the market prices. The market price, therefore, at every point in time represents the latest position at all times. The efficient market theory submits it is not possible to make profits looking at old data or by studying the patterns of previous price changes. It assumes that all foreseeable events have already been built into the current market price. Thus, to work out the likely future price at a future date in order to determine the share's present intrinsic value, fundamentalists devote time and effort to ascertain the effect of various happenings (present and future) on the profitability of the company and its likely results. This must also include the possibility of the company issuing bonus shares or offering rights shares.

The most important factor in fundamental analysis is information — information about the economy, the industry and the company itself — any information that can affect the growth and profitability of the company and it is because of this fundamental analysis is broken into three distinct parts:

1. The economy,
2. The industry within which the company operates, and
3. The company.

The information has to be interpreted and analyzed and the intrinsic value of the share determined. This intrinsic value must, then, be compared against the market value the fundamentalists say, and only then can an investment decision be taken.